NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH (COURT- III)

C.P.(CAA)73/ND/22
IN
CA(CAA) 62/ND/2022

IN THE MATTER OF SCHEME OF AMALGAMATION :

AMONGST

KNAUF GYPSUM INDIA PRIVATE LIMITED

... Applicant No.1 /Transferor Company

AND

USG INDIA PRIVATE LIMITED

... Applicant No.2 /Transferor Company

WITH

KNAUF INDIA PRIVATE LIMITED

... Applicant No.3/ Transferee Company

ORDER DELIVERED ON: 29.03.2023

Section: 230 to 232 of the Companies Act, 2013

CORAM

SH. BACHU VENKAT BALARAM DAS

HONBLE MEMBER (JUDICIAL)

SH. ATUL CHATURVEDI

HON'BLE MEMBER (TECHNICAL)

PRESENT

For the Applicant : Mr. P. Nagesh , Sr. Advocate, Mr. Mahesh Agarwal, Advocate

For Income Tax : Mr. Abhishek Maratha

For RD : Ms. Shankari Mishra

FOR OL : Ms. Hemlata Rawat

ORDER

PER: ATUL CHATURVEDI, MEMBER (T)

1. This Petition is preferred jointly by the Transferor Companies and Transferee Company under Section 230 to 232 of Companies Act, 2013 read with the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016 for the purpose of the approval of the Scheme of Amalgamation (hereinafter referred to as **'Scheme'** for brevity), as contemplated between the Companies, its Shareholders and Creditors. The copy of the Scheme has been placed on record. The details of the Companies proposed to be amalgamated, as placed on record, are given in the following paragraphs.

2. Knauf Gypsum India Private Limited (hereinafter referred to as "Transferor Company – 1") having CIN U36990DL2016FTC396365 was incorporated under the provisions of the Companies Act, 2013 having its registered office at S-217, Ground Floor, Panchsheel Park, New Delhi – 110017.

3. USG India Private Limited (hereinafter referred to as "Transferor Company – 2") having CIN U45309DL2009PTC194801 was incorporated under the provisions of the Companies Act, 2013 having its registered office at B-33, Ground Floor, DDA Shed, Okhla industries Area, phase – II, New Delhi – 110020.

4. Knauf India Private Limited (herein after referred to as "Transferee Company") having CIN U28939DL2006PTC150597 was incorporated under the provisions of the Companies Act, 2013 having its registered office at B-33, Okhla industries Area, phase –

II, New Delhi – 110020.

5. The present Petition has been filed by Transferor Companies and Transferee Company Jointly. Since the Registered offices of all the Petitioner Companies is situated in Delhi, the jurisdiction lies with this Bench.

6. From the records, it is seen that the First Motion petition was filed by the Applicant Companies for seeking directions for dispensing with the meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Company. This Tribunal, in the First Motion Application bearing No. CA (CAA) No. 62 (ND) 2022, vide Order dated 06.06.2022 dispensed the meeting of Equity shareholders, Secured Creditor and Unsecured Company of all the Applicant companies.

7. Subsequent to the order of dispensation of meetings in relation to the Transferor Companies, the Second Motion petition was moved by the Petitioner Companies in connection with the Scheme of Amalgamation for issuance of notices to the Central Government, Registrar of Companies NCT of Delhi & Haryana, Regional Director (Northern Region) MCA, Income Tax Authorities, Official Liquidator, Reserve Bank of India and other sectoral regulators who shall be affected by the proposed Scheme and to such other Objectors, if any, and also for publication of notice in respect of the said Scheme. The said petition was admitted and directions were issued, by this Tribunal requiring the Petitioner Companies to serve notices to the Central Government, Registrar of Companies NCT of Delhi & Haryana, Regional Director (Northern Region) MCA, Income Tax Authorities, Official Liquidator and other sectoral regulators likely to be affected by the said proposed Scheme and also to carry out necessary publication in English and Hindi newspapers with respect to the said Scheme.

8. It is submitted by the Petitioners that in compliance of the above stated directions, thePetitioners duly filed an Affidavit of Service by confirming that the aforesaid Notices

of the present Company Petition were published in Business Standard (English) and (Hindi) newspapers Delhi edition. It is further submitted that the Petitioner Companies also served the Notices of the present company Petition to all the statutory authorities.

9. The Income Tax Department vide it's report dated 10.02.2023 submitted to this Tribunal stating therein that they have no objection with respect to the present Scheme of arrangement.

10. The Regional Director vide his report dated 16.09.2022 has not objected to the proposed scheme but has made certain observations. The petitioner companies had filed reply dated 26.09.2022 in response to the observations made by the Regional Director, under wherein the petitioner companies provided the required clarification with respect to the observations made by the Regional Director. The details are given below:

Observations of Regional Director	**Reply of the Petitioner Companies**
1. On examination of the contents of the scheme, it is found that on sanction of the scheme by the Hon tie Tribunal, the Transferee Company will issue shares to the shareholders of the Transferor Companies as per the exchange ratio of shares stated therein towards purchase consideration which involves issue of shares to foreign Body Corporates. The scheme is silent about compliance of guidelines issued under FEMA regulated by the Reserve Bank of India. In view of the above, it is prayed before the Hon'ble Tribunal to direct the Petitioner	As per Rule 19 of 'FEMA Regulations' issued on October 17,2019 where a scheme of amalgamation of two or more Indian companies has been approved by this Tribunal, the transferee company, may issue equity instruments to the existing holders of the transferor company resident outside India subject to the condition: i. The transfer or issue is in the compliance with the entry routes, sectoral caps or investment limits, as the case may be, and the attendant conditionalities of investment by a person resident outside India. Provided that

Companies to explain as how they have complied with the requirement of FEMA as will arise on sanction of the scheme by the Hon'ble Tribunal.	where the percentage is likely to breach the sectoral gaps or the attendant conditionalities , the Transferor Company or the Transferee Company may obtain necessary approval from the Central Government. The transferor company or the transferee Company shall not engage in any sector prohibited for investment by a person resident outside India. The Business of the petitioner companies is not prohibited for investment by a non resident and the foreign direct investment is allowed under automatic route. Hence, such issuance of shares to shareholder resident outside India is permissible under FEMA Regulations and no approval from Reserve Bank of India is required on issuance of shares pursuant to the proposed Scheme.
2. As per the financial statements as at 31.03.2021 of Transferor Company 2 and Transferee Company, it is found that the Transferor Company 2 has recognized income of INR 195 Million in the Profit & Loss Account of the FY 20-21 under extra-ordinary item and on examination it is found that the amount was written off advance amount paid by the	i. It is respectfully submitted that the Petitioner Companies, being closely held companies, are part of the same group and ultimately held by the same shareholder. Therefore, it is submitted that the interest of shareholders is not adversely impacted by the proposed Scheme and all the shareholders have already given their absolute and unconditional consent to the proposed

Transferee Company. The transaction is having material impact upon the minority shareholders and also influence revenue and earnings per share of both the above petitioner companies.	Scheme. ii. It is further respectfully submitted that the amount of extra-ordinary item is accounted for and disclosed in the financial statements as well as tax returns for FY 2020-21 of both Transferor Company 2 and Transferee Company. iii. Further, both Transferor Company 2 and Transferee Company have also served notice to income tax authorities (both standing council and jurisdictional assessing officer on July 25, 2022 to file their objection to the Scheme, if any, by August 22, 2022 (acknowledgements for the notices are annexed herewith as Annexure 3 (Colly). Accordingly, any additional reference to the Revenue Authorities may not be required.

11. The Official Liquidator vide it's report dated 25.08.2022 submitted to this Tribunal stating therein that they have no objection with respect to the present Scheme of arrangement.

12. In view of the foregoing facts and discussion and upon considering the approval

accorded by the Members and Creditors of all the Companies to the proposed Scheme and also in the view of the fact that no sustainable objections have been raised by the Office of the Regional Director, Income Tax Department or any other interested party, there does not appear to be any impediment in granting sanction to the Scheme proposed for amalgamation.

13. Accordingly, in sequel to the above facts and circumstances, sanction is hereby granted to the Scheme of Amalgamation proposed by the Applicant Company under Section 230 to 232 of the Companies Act, 2013.

14. The sanctioned Scheme of Amalgamation shall be binding on the Transferor Companies and Transferee Company and their Shareholders and Creditors. The Petitioner Companies shall remain bound to comply with the statutory requirements in accordance with law.

15. Notwithstanding the above, if at any stage any deficiency is found or violation committed qua any enactment, statutory rule or regulation is found to be committed, the sanction granted by this Tribunal to the Scheme will not come in the way of action to be taken, albeit, in accordance with law, against the concerned persons, Directors and Officials of the Applicant Company.

16. While approving the Scheme as above, it is clarified that this Order should not be construed as an order in any way granting exemption from payment of Stamp Duty, Taxes or other statutory dues, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement, which may be specifically required under any law will be made. Further the approval of the Scheme would in no manner affect the tax treatment of the transactions under the Income Tax Act, 1961 or serve as any exemption or defense for the Applicant Companies against tax treatment in accordance with the provisions of Income Tax Act, 1961.

17. This tribunal further directs with respect to Transferor companies and

Transferee company, that:

(i) Upon the sanction becoming effective from the appointed date of amalgamation and arrangement i.e., 1st April, 2020, the Transferor Companies shall stand dissolved without undergoing the process of winding up.

(ii) All benefits, entitlements, incentives and concessions under incentive schemes and policies that the Transferor Companies are entitled to including under Customs, Excise, Service Tax, VAT, Sales Tax, GST and Entry Tax and Income Tax laws, subsidy receivables from Government, grant from any governmental authorities, direct tax benefit/exemptions/deductions, shall, to the extent statutorily available and along with associated obligations, stand transferred to and be available to the Transferee Company as if the Transferee Company was originally entitled to all such benefits, entitlements, incentives and concessions;

(iii) All contracts of the Transferor Companies, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favour of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Companies, the Transferee Company had been a party or beneficiary or obliged

thereto;

(iv) All the employees of the Transferor Companies shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favourable than those on which they are engaged by the Transferor Companies, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(v) All liabilities of the Transferor Companies shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Companies Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

(vi) All proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company.

(vii) Any person interested or effected shall be at liberty

to apply to this Tribunal in the above matter for any directions that may be necessary.

18. Further, the petitioner companies shall within thirty days of the date of the receipt of this Order, cause a Certified Copy of this Order to be delivered to the Registrar of Companies for registration and on such Certified Copy being so delivered, the Transferor Companies shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Companies on the file kept by him in relation to the Transferee Company and the files relating to all the Petitioner Companies shall be consolidated accordingly.

The Company Petition bearing (CAA) 7 3 (ND)/2022 is allowed in the above terms.

SD/-
ATUL CHATURVEDI
(MEMBER T)

SD/-
BACHU VENKAT BALARAM DAS
(MEMBER J)